

MGMT 205 Class Session # 1: Personal Finance Journal Questionnaire

DIRECTIONS: Answer the following questions then upload your file on Canvas under the “CQ & PFJ 1” assignment. There are no right or wrong answers. These are simply self-reflection and self-insight questions designed to lay a foundation for the course. This counts as your first weekly assignment for the course.

1. List the five most important things to you in life. If possible, put them in rank order of importance to you.

i. Family (including pets)

ii. Friends

iii. Education

iv. Finances

v. Free Time

2. What are your life goals?

I aim to live a happy, comfortable life with a career that I enjoy and with people around me that I love. I would like to surround myself with people I enjoy, both in and out of work. I also want to spend time with those I love, especially family, as I get older.

3. Do your life goals have implications for your finances?

By comfortable, I mean that I want to be able to afford a reasonably sized house in a good neighborhood and have the money to deal with emergencies while also going out every now and then to enjoy life.

4. In addition to *life* goals, do you have specific *financial* goals for the future that you didn't mention above?

No, my biggest financial goals were all mentioned above, and they are simply having the means to buy a nice home, car, and afford trips, while also being stable enough to handle emergencies.

5. Characterize yourself
 - a. Spending Habits
 - i. Are you a “spender” or a “saver”?

YOUR Response:

I would say I’m a saver. As I worked throughout high school and during breaks over the past couple years, I would put a high percentage (~75% of my paycheck) into savings so that I would have money both to put towards college and to spend in college if needed. If you look at the remaining percentage of that paycheck, you could classify me as a spender as I would usually spend that money on gifts, food, or drink.

- b. Budgeting Habits
 - i. Are you a “nerd” or a “free spirit”?

Definitions:

Nerd: You like to crunch numbers or track expenses. You find satisfaction in knowing where your money goes.

Free-spirit: Spend as you wish and don’t really know where the money goes.

YOUR Response:

Definitely a nerd. I always keep track of where my money is going, and will not hesitate to report something that seems oof if that were to happen. This carries over into my treasurer roles for two organizations on campus, where it is my duty to crunch numbers and track expenses throughout the semester.

- c. Financial Motivation
 - i. Are you financial motivated by safety or status?

Definitions: (be honest with yourself):

Motivated by safety: You want the security that money brings (like the ability to withstand a job loss or medical emergency)

Motivated by status: You care more about the things your money can provide you. The amount of money you have determines the size of your home, the activities you participate in, the car you drive, etc.

Your response:

I am motivated by safety. As much as I would like to have money to get a nice place and car, I am really motivated by having the ability to withstand a job loss or medical emergency. If I can do this, then I can lead a happier life. If I cannot, then what I own will not matter.

- d. Did you hear your parents/parent figures talk about money when you were growing up?
(this is simply a yes or no question.)

YOUR Response:

Yes, and I can recall many occurrences of overhearing or being involved in discussions about money.

6. Are there any childhood events or occurrences that specifically stand out in your mind as shaping your attitudes towards money, wealth, saving and spending?

I grew up playing travel soccer, and my younger sister eventually started playing as well. Overhearing the costs for the club, and also the cost of traveling showed me how easy it is for money to be spent, which I believe inspired me to start saving money. My parents would also have me deposit any checks or cash I got for birthdays/Christmas into a high yield savings account that they had set up for me.

7. Do you have any religious beliefs and/or political ideologies that influence the way you view money, wealth, saving and spending? If so, what are they?

No, I am not religiously affiliated, and do not make any donations to political organizations that I support.

8. What do you think money can do for you? What do you think it can NOT do for you?

I think it can bring me temporary happiness, but cannot enrich myself without something else present. I do not believe it can solve any and all problems that may arise, but I do believe that it can prevent me from leading an unhappy life.

9. Do you think social media, Netflix/TV/music, and advertising impact your desired lifestyle, and attitudes towards money, wealth, saving and spending? If so, are they positive or negative influences?

I think all of the above impact my life. I think social media and advertising can negatively influence my financial habits, as they can persuade me to purchase items that I would likely never have seen nor have needed. Netflix/TV/Music, while all having some sort of payment model, I feel are more positive

influences on my life as they are all enriching in some way. I believe that the payment required to start/continue using these products is outweighed by the enjoyment you get from using them.

10. At what age would you like to have the ability to retire (even if you choose to keep working because you enjoy it)? Why that age?

I would like to retire somewhere between 65 and 70 years old, assuming I like what I do. After that age, I would like to just enjoy the remainder of my self and spend as much time with people that I love most. While retiring earlier wouldn't necessarily be a bad thing, I just don't believe that I would want to, though that may and most likely will change at some point.

11. What would you like to do in retirement?

I want to travel the world, and spend a lot of time with my family and friends. This is what my grandparents do now in retirement, and that is the main reason why. I want to enjoy retired life and explore other countries and continents.

12. When you think of millionaires, what do you picture in your mind?

I picture an older person with a nice house and car, and with a family or close group of friends. Ideally, they aren't flexing their wealth, and are instead living modestly and comfortably, helping those around them when needed. I understand this isn't the reality, but more a good picture I have in my mind.

13. How do you think most millionaires got "rich"?

I think it varies. On one hand, there's the group of people who worked hard all their life to gain their wealth. This could be through a more conventional office job, a start-up business, or through something online. On the other hand, there are those that were given wealth by their parents. These people, while not earning their wealth, are still rich and can benefit from the money they have been given.

14. What does "financial freedom" mean to you?

Financial freedom boils down to being able to spend on things you enjoy while not needing to worry about the threat of a sudden emergency. If you can withstand any sort of emergency while also leading a fulfilling life, you, in my opinion, are financially free.

15. Do you have any concerns or anxieties over money as you prepare to leave college and become independent? If so, what specifically concerns or worries you?

I am concerned with the rising prices of everything, from groceries to houses/apartments. I'm worried about not being able to build up my net worth due to everything being so expensive. I am also worried about having to deal with insurance, loans, and taxes as an independent, though I know those will come with time and that there are people around me who could help.

16. *At this point*, do you have any particular questions that you hope to be addressed at some point during the course?

I am mainly hoping to gain skills to create a personal budget, and how investing works at a high level. While I could figure these things out on my own, I am mainly looking forward to having this taught to me and seeing examples of what to do and what not to do.